

DEVELOPMENT PROCESSES AND THE DEVELOPMENT INDUSTRY

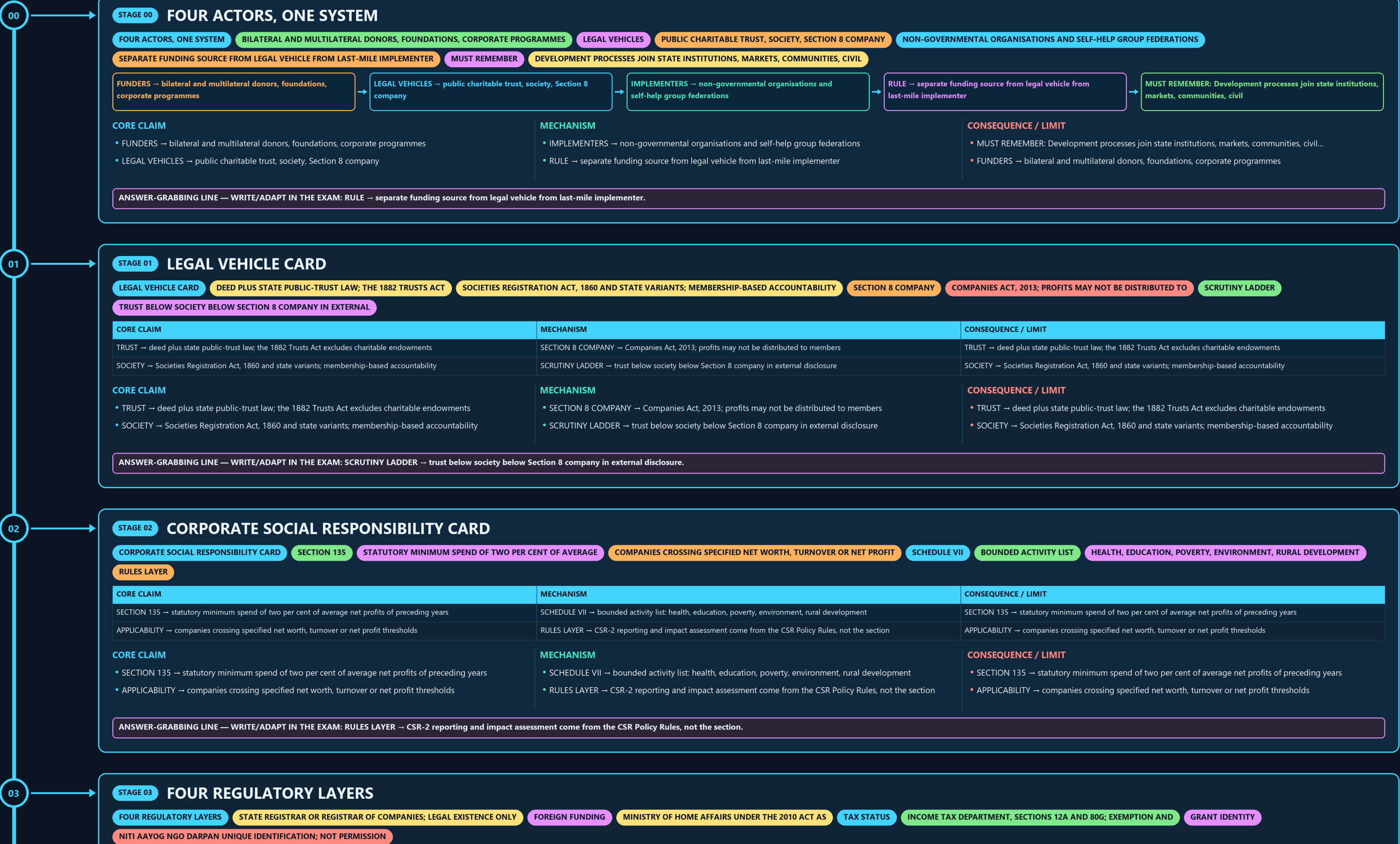
FOUR ACTORS, ONE SYSTEM → LEGAL VEHICLE CARD → CORPORATE SOCIAL RESPONSIBILITY CARD → FOUR REGULATORY LAYERS → THE FOREIGN-CONTRIBUTION GATE → FUNDING TO OUTCOME

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • source generation g3 and all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles



03

CORE CLAIM

- SECTION 135 → statutory minimum spend of two per cent of average net profits of preceding years
- APPLICABILITY → companies crossing specified net worth, turnover or net profit thresholds

MECHANISM

- SCHEDULE VII → bounded activity list: health, education, poverty, environment, rural development
- RULES LAYER → CSR-2 reporting and impact assessment come from the CSR Policy Rules, not the section

CONSEQUENCE / LIMIT

- SECTION 135 → statutory minimum spend of two per cent of average net profits of preceding years
- APPLICABILITY → companies crossing specified net worth, turnover or net profit thresholds

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: RULES LAYER → CSR-2 reporting and impact assessment come from the CSR Policy Rules, not the section.

04

STAGE 03

FOUR REGULATORY LAYERS

FOUR REGULATORY LAYERS

STATE REGISTRAR OR REGISTRAR OF COMPANIES; LEGAL EXISTENCE ONLY

FOREIGN FUNDING

MINISTRY OF HOME AFFAIRS UNDER THE 2010 ACT AS

TAX STATUS

INCOME TAX DEPARTMENT, SECTIONS 12A AND 80G; EXEMPTION AND

GRANT IDENTITY

NITI AAYOG NGO DARPAN UNIQUE IDENTIFICATION; NOT PERMISSION

CORE CLAIM

- INCORPORATION → state registrar or Registrar of Companies; legal existence only
- FOREIGN FUNDING → Ministry of Home Affairs under the 2010 Act as amended in 2020

MECHANISM

- TAX STATUS → Income Tax Department, Sections 12A and 80G; exemption and donor deduction
- GRANT IDENTITY → NITI Aayog NGO Darpan unique identification; not permission

CONSEQUENCE / LIMIT

- INCORPORATION → state registrar or Registrar of Companies; legal existence only
- FOREIGN FUNDING → Ministry of Home Affairs under the 2010 Act as amended in 2020

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: GRANT IDENTITY → NITI Aayog NGO Darpan unique identification; not permission.

05

STAGE 04

THE FOREIGN-CONTRIBUTION GATE

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ROUTE ONE

REGISTRATION FOR ONGOING RECEIPT OF FOREIGN CONTRIBUTION

ROUTE TWO

CASE-SPECIFIC PRIOR PERMISSION FOR A DEFINED CONTRIBUTION

DESIGNATED ACCOUNT AT THE STATE BANK OF INDIA MAIN

ADMINISTRATIVE-EXPENSE PROPORTION CAPPED; SUB-GRANTING BETWEEN ENTITIES RESTRICTED

ROUTE ONE → registration for ongoing receipt of foreign contribution

ROUTE TWO → case-specific prior permission for a defined contribution

CONDITIONS → designated account at the State Bank of India main branch, New Delhi

LIMITS → administrative-expense proportion capped; sub-granting between entities restricted

CORE CLAIM

- ROUTE ONE → registration for ongoing receipt of foreign contribution
- ROUTE TWO → case-specific prior permission for a defined contribution

MECHANISM

- CONDITIONS → designated account at the State Bank of India main branch, New Delhi
- LIMITS → administrative-expense proportion capped; sub-granting between entities restricted

CONSEQUENCE / LIMIT

- ROUTE ONE → registration for ongoing receipt of foreign contribution
- ROUTE TWO → case-specific prior permission for a defined contribution

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIMITS → administrative-expense proportion capped; sub-granting between entities restricted.

06

STAGE 05

FUNDING TO OUTCOME

FUNDING TO OUTCOME

FUNDING SOURCE

PROJECT CYCLE, FOUNDER PRIORITY OR SCHEDULE VII COMPLIANCE SETS

LEGAL VEHICLE

DETERMINES DISCLOSURE AND GOVERNANCE QUALITY AVAILABLE TO A BENEFICIARY

LOCAL SOCIAL CAPITAL AND CAPACITY DETERMINE LAST-MILE FIDELITY

UPWARD TO DONOR AND REGULATOR; NEVER DOWNWARD TO THE

CLOSE DISTINCTION

FUNDING SOURCE → project cycle, founder priority or Schedule VII compliance sets the frame

LEGAL VEHICLE → determines disclosure and governance quality available to a beneficiary

IMPLEMENTER → local social capital and capacity determine last-mile fidelity

ACCOUNTABILITY → upward to donor and regulator; never downward to the beneficiary

CLOSE DISTINCTION: Development industry is an analytical label for organisations

CORE CLAIM

- FUNDING SOURCE → project cycle, founder priority or Schedule VII compliance sets the frame
- LEGAL VEHICLE → determines disclosure and governance quality available to a beneficiary

MECHANISM

- IMPLEMENTER → local social capital and capacity determine last-mile fidelity
- ACCOUNTABILITY → upward to donor and regulator; never downward to the beneficiary

CONSEQUENCE / LIMIT

- CLOSE DISTINCTION: Development industry is an analytical label for organisations,...
- FUNDING SOURCE → project cycle, founder priority or Schedule VII compliance sets the frame

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Development industry is an analytical label for organisations,.

06

STAGE 06

FIVE-TEST GRID

FIVE-TEST GRID

ADDS CAPACITY, OR SUBSTITUTES FOR A PUBLIC OBLIGATION STILL

CHOSEN FROM DISAGGREGATED EXCLUSION DATA, OR FROM THE FUNDER

CAN A BENEFICIARY OBTAIN RECORDS, COMPLAIN AND FORCE CORRECTION

SUSTAINABILITY AND FIT

WHO OPERATES AFTER THE GRANT, AND IS IT CONVERGED

CORE CLAIM

MECHANISM

CONSEQUENCE / LIMIT

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06

• LEGAL VEHICLE → determines disclosure and governance quality available to a beneficiary

• ACCOUNTABILITY → upward to donor and regulator; never downward to the beneficiary

• FUNDING SOURCE → project cycle, founder priority or Schedule VII compliance sets the frame

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Development industry is an analytical label for organisations..

STAGE 06

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CAN A BENEFICIARY OBTAIN RECORDS, COMPLAIN AND FORCE CORRECTION

SUSTAINABILITY AND FIT

WHO OPERATES AFTER THE GRANT, AND IS IT CONVERGED

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
ADDITIONALITY → adds capacity, or substitutes for a public obligation still owed	ACCOUNTABILITY → can a beneficiary obtain records, complain and force correction	ADDITIONALITY → adds capacity, or substitutes for a public obligation still owed
NEED-FIT → chosen from disaggregated exclusion data, or from the funder priority	SUSTAINABILITY AND FIT → who operates after the grant, and is it converged with the district plan	NEED-FIT → chosen from disaggregated exclusion data, or from the funder priority

CORE CLAIM

• ADDITIONALITY → adds capacity, or substitutes for a public obligation still owed

• NEED-FIT → chosen from disaggregated exclusion data, or from the funder priority

MECHANISM

• ACCOUNTABILITY → can a beneficiary obtain records, complain and force correction

• SUSTAINABILITY AND FIT → who operates after the grant, and is it converged with the district plan

CONSEQUENCE / LIMIT

• ADDITIONALITY → adds capacity, or substitutes for a public obligation still owed

• NEED-FIT → chosen from disaggregated exclusion data, or from the funder priority

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: SUSTAINABILITY AND FIT → who operates after the grant, and is it converged with the district plan.

07

SUBSTITUTION AGAINST COMPLEMENTARITY

NON-STATE DELIVERY IS A SYMPTOM OF STATE FAILURE AND

FLEXIBILITY, SPEED AND RISK-TAKING ARE STRUCTURALLY EASIER OUTSIDE PROCUREMENT

THE ADDITIONALITY TEST DECIDES THE CASE RATHER THAN THE

AGGREGATE RISK

DUPLICATION AND VISIBLE-NEED BIAS WHERE CONVERGENCE IS ABSENT

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
SUBSTITUTION → non-state delivery is a symptom of state failure and may entrench it	RESOLUTION → the additionality test decides the case rather than the thesis	SUBSTITUTION → non-state delivery is a symptom of state failure and may entrench it
COMPLEMENTARITY → flexibility, speed and risk-taking are structurally easier outside procurement	AGGREGATE RISK → duplication and visible-need bias where convergence is absent	COMPLEMENTARITY → flexibility, speed and risk-taking are structurally easier outside procurement

CORE CLAIM

• SUBSTITUTION → non-state delivery is a symptom of state failure and may entrench it

• COMPLEMENTARITY → flexibility, speed and risk-taking are structurally easier outside procurement

MECHANISM

• RESOLUTION → the additionality test decides the case rather than the thesis

• AGGREGATE RISK → duplication and visible-need bias where convergence is absent

CONSEQUENCE / LIMIT

• SUBSTITUTION → non-state delivery is a symptom of state failure and may entrench it

• COMPLEMENTARITY → flexibility, speed and risk-taking are structurally easier outside procurement

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: AGGREGATE RISK → duplication and visible-need bias where convergence is absent.

08

VISIBLE-NEED BIAS

SCHEDULE VII LIST PLUS REPUTATIONAL INCENTIVE

CROWDING INTO SCHOOL BUILDINGS, SANITATION HARDWARE AND OTHER LEGIBLE

MENTAL HEALTH, CARE WORK, LEGAL AID AND DISABILITY ACCESS

A CONVERGENCE FAILURE, NOT A FAILURE OF GENEROSITY

DRIVER → Schedule VII list plus reputational incentive

EFFECT → crowding into school buildings, sanitation hardware and other legible sectors

SHORTFALL → mental health, care work, legal aid and disability access stay underfunded

DIAGNOSIS → a convergence failure, not a failure of generosity

CORE CLAIM

• DRIVER → Schedule VII list plus reputational incentive

• EFFECT → crowding into school buildings, sanitation hardware and other legible sectors

MECHANISM

• SHORTFALL → mental health, care work, legal aid and disability access stay underfunded

• DIAGNOSIS → a convergence failure, not a failure of generosity

CONSEQUENCE / LIMIT

• DRIVER → Schedule VII list plus reputational incentive

• EFFECT → crowding into school buildings, sanitation hardware and other legible sectors

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: DIAGNOSIS → a convergence failure, not a failure of generosity.

09

MULTI-LEVEL PLANNING CARD

UNION, STATE, DISTRICT AND LOCAL PLAN WHAT EACH IS

DISTRICT PLANNING COMMITTEE UNDER ARTICLE 243ZD; OPERATIONALISATION UNEVEN

FISCAL PRECONDITION

THE STATE FINANCE COMMISSION

KERALA PEOPLE'S PLAN CAMPAIGN, 1996; FUNDS, FUNCTIONS AND FUNCTIONARIES

TIERS → Union, state, district and local plan what each is best placed to know

CONSOLIDATION → District Planning Committee under Article 243ZD; operationalisation uneven

FISCAL PRECONDITION → the State Finance Commission

DEMONSTRATION → Kerala People's Plan Campaign, 1996; funds, functions and functionaries together

CORE CLAIM

• TIERS → Union, state, district and local plan what each is best placed to know

• CONSOLIDATION → District Planning Committee under Article 243ZD; operationalisation uneven

MECHANISM

• FISCAL PRECONDITION → the State Finance Commission

• DEMONSTRATION → Kerala People's Plan Campaign, 1996; funds, functions and functionaries together

CONSEQUENCE / LIMIT

• TIERS → Union, state, district and local plan what each is best placed to know

• CONSOLIDATION → District Planning Committee under Article 243ZD; operationalisation uneven

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09

STAGE 09 MULTI-LEVEL PLANNING CARD

MULTI-LEVEL PLANNING CARD UNION, STATE, DISTRICT AND LOCAL PLAN WHAT EACH IS DISTRICT PLANNING COMMITTEE UNDER ARTICLE 243ZD; OPERATIONALISATION UNEVEN FISCAL PRECONDITION THE STATE FINANCE COMMISSION

KERALA PEOPLE'S PLAN CAMPAIGN, 1996; FUNDS, FUNCTIONS AND FUNCTIONARIES



CORE CLAIM

- TIERS → Union, state, district and local plan what each is best placed to know
- CONSOLIDATION → District Planning Committee under Article 243ZD; operationalisation uneven

MECHANISM

- FISCAL PRECONDITION → the State Finance Commission
- DEMONSTRATION → Kerala People's Plan Campaign, 1996; funds, functions and functionaries together

CONSEQUENCE / LIMIT

- TIERS → Union, state, district and local plan what each is best placed to know
- CONSOLIDATION → District Planning Committee under Article 243ZD; operationalisation uneven

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: DEMONSTRATION → Kerala People's Plan Campaign, 1996; funds, functions and functionaries together.

10

STAGE 10 FOUR DONOR-DISTORTION CHANNELS

FOUR DONOR-DISTORTION CHANNELS DONOR PRIORITY SETS THE PROBLEM BEFORE LOCAL NEED IS REPORTING REWARDS COUNTABLE OUTPUTS, SO PARTICIPATORY PROCESS IS CUT PROJECT-BASED TIME-BOUND GRANTS MISMATCH A MULTI-YEAR INSTITUTION-BUILDING HORIZON ACCOUNTABILITY SUBSTITUTION

UPWARD REPORTING REPLACES DOWNWARD ANSWERABILITY



CORE CLAIM

- AGENDA → donor priority sets the problem before local need is assessed
- METRIC → reporting rewards countable outputs, so participatory process is cut first

MECHANISM

- CYCLE → project-based time-bound grants mismatch a multi-year institution-building horizon
- ACCOUNTABILITY SUBSTITUTION → upward reporting replaces downward answerability

CONSEQUENCE / LIMIT

- AGENDA → donor priority sets the problem before local need is assessed
- METRIC → reporting rewards countable outputs, so participatory process is cut first

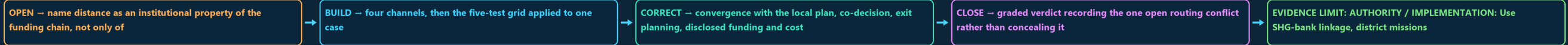
ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ACCOUNTABILITY SUBSTITUTION → upward reporting replaces downward answerability.

11

STAGE 11 ANSWER SPINE FOR A DISTANCE DEMAND

ANSWER SPINE FOR A DISTANCE DEMAND NAME DISTANCE AS AN INSTITUTIONAL PROPERTY OF THE FUNDING FOUR CHANNELS, THEN THE FIVE-TEST GRID APPLIED TO ONE CONVERGENCE WITH THE LOCAL PLAN, CO-DECISION, EXIT PLANNING, DISCLOSED

GRADED VERDICT RECORDING THE ONE OPEN ROUTING CONFLICT RATHER EVIDENCE LIMIT USE SHG-BANK LINKAGE, DISTRICT MISSIONS



CORE CLAIM

- OPEN → name distance as an institutional property of the funding chain, not only of the state
- BUILD → four channels, then the five-test grid applied to one case

MECHANISM

- CORRECT → convergence with the local plan, co-decision, exit planning, disclosed funding and cost
- CLOSE → graded verdict recording the one open routing conflict rather than concealing it

CONSEQUENCE / LIMIT

- EVIDENCE LIMIT: AUTHORITY / IMPLEMENTATION: Use SHG-bank linkage, district missions,...
- OPEN → name distance as an institutional property of the funding chain, not only of the state

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE → graded verdict recording the one open routing conflict rather than concealing it.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT THE 2024 PYQ'S CAREFUL PHRASING ("HAVE THE POTENTIAL TO CSR'S SCHEDULE VII ACTIVITY-LIST CONSTRAINT IS A DOUBLE-EDGED DESIGN IT PREVENTS CROSS-BORDER DONOR FUNDING FOR INDIAN DEVELOPMENT WORK INTERSECTS DIRECTLY

MINISTRY OF CORPORATE AFFAIRS ADMINISTERS SECTION 8 COMPANY REGISTRATION INCOME TAX DEPARTMENT ADMINISTERS CHARITABLE-TRUST TAX-EXEMPTION COMPLIANCE (REGISTRATION NO SINGLE UNIFIED REGULATOR SUPERVISES "THE DEVELOPMENT INDUSTRY" AS

OPTIONAL SOURCE DEPTH

- CAUTION: The 2024 PYQ's careful phrasing ("have the potential to make — more inclusive") is an
- CAUTION: CSR's Schedule VII activity-list constraint is a double-edged design feature: it prevents
- CAUTION: Cross-border donor funding for Indian development work intersects directly with FCRA
- Ministry of Corporate Affairs administers Section 8 company registration and CSR

ADVANCED DEBATE

- Income Tax Department administers charitable-trust tax-exemption compliance (registration
- CAUTION: No single unified regulator supervises "the development industry" as such — regulatory
- CAUTION: A well-governed public charitable trust running a transparent, locally consulted health
- CAUTION: Boundary case: a CSR programme designed purely to satisfy Schedule VII compliance with

LEGACY / NUANCE

- CAUTION: Disaster relief remains the clearest example where charitable-trust/CSR flexibility
- CAUTION: Charitable/CSR development trades scale and universality (which the state, in
- CAUTION: Donor/CSR funding cycles being project-based and time-bound can create sustainability
- CAUTION: Weak, fragmented regulatory oversight (MCA/Income Tax/state registrars/MHA) leaves gaps

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.